IN THE NATIONAL COMPANY LAW TRIBUNAL
AHMEDABAD
DIVISION BENCH
COURT - 1

ITEM No.104

C.A.(CAA)/5(AHM)2023

Order under Sections 230-232 of the Companies Act, 2013

IN THE MATTER OF:

Reliance Projects & Property Management Services Ltd. **.....Applicant**

Order delivered on …..08/02/2023

Coram:

Dr.Madan B. Gosavi, Hon'ble Member(J)
Kaushalendra Kumar Singh, Hon'ble Member(T)

PRESENT:

For the Applicant :

ORDER

The case is fixed for the pronouncement of the order. The order is pronounced in the open court, vide separate sheet.

-SD-

KAUSHALENDRA KUMAR SINGH
MEMBER (TECHNICAL)

-SD-

DR.MADAN B GOSAVI
MEMBER (JUDICIAL)

NATIONAL COMPANY LAW TRIBUNAL
AHMEDABAD
DIVISION BENCH
COURT-1

CA(CAA) No.5/230-232/NCLT/AHM/2023

[In the matter of Sections 230-232 and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements, and Amalgamations) Rules, 2016]

Composite Scheme of Amalgamation

of

Reliance Infratel Limited
(Amalgamating Company 1)

and

Reliance SMSL Limited
(Amalgamating Company 2)

with

Reliance Projects & Property Management Services Limited
(Amalgamated Company)

and

their respective Shareholders and Creditors

In the matter of:

Reliance Projects & Property Management Services Limited
[CIN: U72501GJ2019PLC108755]

A company incorporated under the provisions of the Companies Act, 2013 having its registered office at Office-101, Saffron, Nr. Centre Point, Panchwati 5 Rasta, Ambawadi, Ahmedabad-380006, Gujarat

….. Applicant / Amalgamated Company

Order Pronounced on: 08.02.2023

Coram: Dr. Madan Bhalchandra Gosavi-Member (Judicial)
Mr. Kaushalendra Kumar Singh-Member (Technical)

Appearance:
Mr. Saurabh Soparkar, Ld. Sr. Counsel along with Mr. Navi Pahwa, Ld. Sr. Counsel and Mr. Ravi Pahwa, Ld. Counsel on behalf of Thakkar & Pahwa, Advocates, for the Applicant Company.

ORDER

1. The present Company Application is filed under Sections 230 to 232 and other applicable provisions of the Companies Act, 2013 (the "Act") read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, seeking dispensation of the meetings of the Equity Shareholders, Sole Preference Shareholder, Secured Creditors and Unsecured Creditors of the Applicant Company, for the purpose of considering and, if thought fit, approving, with or without modification(s), the Composite Scheme of Amalgamation of Reliance Infratel Limited (Amalgamating Company 1) and Reliance SMSL Limited (Amalgamating Company 2) with Reliance Projects & Property Management Services Limited (Applicant/Amalgamated Company) and their respective Shareholders and Creditors (the Scheme). This Company Application was e-filed on 11.01.2023 and physical copy thereof was filed on 12.01.2023.

2. An Affidavit has been sworn by Mr. Rakesh Pandya on behalf of the Applicant Company who is the authorized representative, and the same is annexed to the Company Application. The above-named authorized representative for the Applicant Company has been authorized vide Board Resolution dated 27.12.2022 of the Applicant Company.

3. The averments made by the Applicant Company are summarized as under:

i) The Board of Directors of the Applicant Company vide Board Resolution dated 27.12.2022, have approved the Scheme. The proposed Scheme is annexed to the Company Application as Annexure-E.

ii) The registered office of the Applicant Company i.e., Reliance Projects & Property Management Services Limited, is situated in the State of Gujarat, and is under the jurisdiction of the National Company Law Tribunal, Ahmedabad Bench.

iii) The Applicant Company was incorporated under the provisions of the Companies Act, 2013 under the name of 'Reliance Digital Platform & Project Services Limited' on 19.06.2019 and the name of the Applicant Company was changed on 04.04.2020 to 'Reliance Projects & Property Management Services Limited'. A copy of the Memorandum and Articles of Association of the Applicant Company is annexed as Annexure-A.

iv) The registered offices of Amalgamating Company 1 / Reliance Infratel Limited and Amalgamating Company 2 / Reliance SMSL Limited are situated in the State of Maharashtra and hence under the jurisdiction of the National Company Law Tribunal, Mumbai Bench.

v) The authorized, issued, subscribed and paid up capital of the Applicant Company as on 27.12.2022 is as follows:-

Particulars	Amount
Authorized Share Capital	
10,00,20,000 Equity Shares of Rs.10 each	Rs.100,02,00,000/-
100,59,000,000 Preference Shares of Rs.10 each	Rs.10059,00,00,000/-
Total	Rs.10159,02,00,000/-
Issued, Subscribed and Paid-up Share Capital	
10,00,00,000 Equity Shares of Rs.10 each fully paid up	Rs.100,00,00,000/-
9,79,52,40,000 Preference Shares of Rs.10 each fully paid up	Rs.9795,24,00,000/-
Total	Rs.9895,24,00,000/-

vi) Copy of the audited financial statement as on 31.03.2022 and copy of the unaudited financial results as on 30.11.2022 of the Applicant Company are annexed with the Company Application as Annexure-B and C.

vii) The Applicant Company has annexed the Certificate issued by the Chartered Accountant to the effect that the accounting treatment specified in the Scheme of Amalgamation is in conformity with the accounting standards prescribed under Section 133 of the Companies Act, 2013 read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016.

viii) The entire share capital of the Amalgamating Company 1 and Amalgamating Company 2 is held by the Applicant Company and its nominees. Therefore, the Applicant

Company will not issue any consideration pursuant to the Scheme.

ix) The equity shares or other securities are not listed on stock exchanges, and there are no foreign shareholders. Further considering the nature and business and also considering the shareholding pattern of the Applicant Company, approval of the Reserve Bank of India and the Competition Commission of India will not be a necessary authority for the purpose of the present Scheme.

x) No investigation or proceedings under the Companies Act, 1956 / Companies Act, 2013 have been instituted or are pending in relation to the Applicant Company.

xi) The Applicant Company has Seven (7) Equity Shareholders and Sole Preference Shareholder (as on 30.11.2022) and all the Equity Shareholders and the Sole Preference Share holder have given their consent in writing, in the form of affidavits, in approval to the Scheme and for waiving their right to convene the meetings of the Equity Shareholders and the Sole Preference Shareholder. The consent Affidavits of all the Equity Shareholders and the Sole Preference Shareholder of the Applicant Company are annexed at Annexure-F and Annexure-H respectively to this Company Application. Chaturvedi Shah & LLP, Chartered Accountants, has issued certificates both dated 02.01.2023 certifying the number of Equity Shareholders and the Preference Shareholders of the Applicant Company. The aforesaid certificates are produced at page

No. 183 and 191 to the Company Application. The Applicant Company, therefore, seeks dispensation of the meetings of Equity Shareholders and the Preference Shareholder.

xii) The Applicant Company has 2 Secured Creditors and both of them have given their consent affidavit, annexed as Annexure-J colly to the Company Application, in approval of the Scheme and for waiving their right to convene the meeting of the Secured Creditors. The Chartered Accountant has certified the number and value of the Secured Creditors of the Applicant Company and has certified that both the Secured Creditors have given their consent affidavits in approval of the Scheme. Hence, the Applicant Company, is seeking dispensation of meeting of the Secured Creditors. The aforesaid certificate is produced at Annexure-K to the Company Application.

xiii) The Applicant Company has 12,963 Unsecured Creditors, as on 30.11.2022 having total outstanding value of Rs.53511,68,67,802.29. Out of 12,963 Unsecured Creditors, 9 Unsecured Creditors representing 93.92% value of the Applicant Company have given their consent affidavits approving the proposed Scheme. The names and outstanding amounts of the Unsecured Creditors of the Applicant Company who have given their consent affidavits as stated on page 230 of the Company Application, are reproduced hereinbelow:-

Sr. No.	Name of Unsecured Creditor	Amount outstanding in Rupees	Percentage of total amount outstanding
1	Reliance Industries Limited	19579,33,87,722.66	36.59%
2	Reliance Retail Limited	9001,54,30,554.94	16.82%
3	Reliance Strategic Business Ventures Limited	5147,89,00,000.00	9.62%
4	Qwik Supply Chain Private Limited	4787,91,86,991.00	8.95%
5	Reliance Retail Finance Limited	3500,00,00,000.00	6.54%
6	Reliance Retail Ventures Limited	3211,53,50,604.47	6.00%
7	Reliance Jio Infocomm Limited	2820,88,52,393.50	5.27%
8	Reliance Industrial Investments and Holdings Limited	1490,33,25,754.38	2.79%
9	Reliance SMSL Limited	720,92,44,092.68	1.35%
	Total	50260,36,78,113.63	93.92%

The Chartered Accountant has certified the number and value of Unsecured Creditors of the Applicant Company. Hence, the Applicant Company is seeking dispensation of the meeting of the Unsecured Creditors.

xiv) The rationale of the Scheme of Arrangement stated in the proposed Scheme is as under: -

1. *RITL is into the business of passive telecommunication infrastructure. By order dated May 15, 2018, the Tribunal (as defined hereinafter) initiated the corporate insolvency resolution process ("**CIRP**") against RITL under the provisions of the Insolvency and Bankruptcy Code, 2016 ("**Code**"). The resolution plan submitted by RPPMSL ("**Resolution Plan**") was approved by the committee of creditors and by the Tribunal vide its order dated December 3, 2020. Pursuant to implementation of the Resolution Plan, 100% control and ownership of RITL was acquired by RPPMSL on December 22, 2022. It is now proposed that, the entire business of RITL should be undertaken in RPPMSL itself. Hence it has been decided to amalgamate RITL with RPPMSL.*

2. *RPPMSL has acquired RITL under the CIRP. Prior to RITL's amalgamation with RPPMSL, it is proposed that the losses for the period prior to acquisition as well as any losses arising on account of adjustments under the Resolution Plan are adjusted against the capital reserve and securities premium account of RITL so that the balance sheet prior to amalgamation represents the true financial picture of RITL.*

3. *RPPMSL is in the business of providing various services including manpower services. RSMSL is a wholly owned subsidiary of RPPMSL and is also engaged in the business of providing manpower services. It is proposed to amalgamate RSMSL with RPPMSL to consolidate the manpower services business within a single entity with a view to achieve operational synergies and efficiency in administrative functions.*

4. *The Scheme will result in the following benefits:*

   (a) Cost savings through legal entity rationalisation;

   (b) Reduction of administrative responsibilities, multiplicity of records and legal & regulatory compliances;

   (c) The merger of the Amalgamating Companies with the Amalgamated Company will result in operational synergies resulting in cost optimization;

   (d) Pooling of resources of the Amalgamating Companies with those of the Amalgamated Company; and

   (e) *To provide a strong financial structure to all stakeholders of the Amalgamating Companies.*

The proposed Scheme is in the interest of the Amalgamating Companies, the Amalgamated Company and their respective stakeholders.

4. Heard Mr. Saurabh Soparkar, Ld. Sr. Counsel along with Mr. Navi Pahwa, Ld. Sr. Counsel and Mr. Ravi Pahwa, Ld. Counsel for the Applicant Company and perused the Company Application and the documents annexed therewith. It appears that the present Company Application complies with all provisions of Sections 230-232 of the Companies Act, 2013 and Rules provided thereunder. Hence, we allow the present Company Application with the following directions:-

i. The meetings of the Equity Shareholders, the sole Preference Shareholder and the Secured Creditors of the Applicant Company are hereby dispensed with in view of their consent affidavits.

ii. The meeting of the Unsecured Creditors of the Applicant Company is hereby dispensed with since the Unsecured Creditors of the Applicant Company having 93.92% of their outstanding value have given their consent affidavits.

iii. In compliance of subsection (5) of Section 230 of the Companies Act, 2013 and Rule 8 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, the Applicant Company shall send a notice in Form No. CAA.3 along with copy of the Scheme: to (i) the Central Government through the Regional Director, North Western Region; (ii) the Registrar of Companies, Gujarat, Ahmedabad; and (iii) the concerned Income Tax Authority along with full details of the Assessing Officer and permanent account number of the Applicant

Company, stating that the representations, if any, to be made by them shall be made within a period of 30 days from the date of receipt of such notice, failing which it shall be presumed that they have no objection to make on the Scheme. The aforesaid authorities, who desire to make representations, if any, under sub-section (5) of Section 230 shall send the same to the Tribunal within a period of 30 days from the date of receipt of such notice, failing which it shall be deemed that they have no representation to make on the Scheme

5. The Applicant Company shall file a compliance affidavit with the Registry with regard to the directions given in this order.

6. This Company Application is disposed of accordingly.

-SD- -SD-

KAUSHALENDRA KUMAR SINGH
MEMBER (TECHNICAL)

DR.MADAN B GOSAVI
MEMBER (JUDICIAL)

Sudha